



**Quarterly Report
of the Dino Polska S.A. Group
for Q3 2020**

Unofficial translation. Only the Polish version is binding.

Dino Polska Spółka Akcyjna ("Dino", "Company", "parent company")

Joint stock company with its registered office in Krotoszyn and its address at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. Taxpayer Identification Number [NIP]: 6211766191, Statistical Number [REGON]: 300820828. The Company's share capital as at 30 September 2020 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document ("Q3 2020 Report", "Report") comprises the condensed quarterly consolidated financial statements (unaudited) of the Dino Polska S.A. Group ("Group", "Dino Group") for the third quarter of 2020 ("Financial Statements"), the Company's condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 6 November 2020 ("Report Date").

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2020- 30.09.2020</i>	<i>01.01.2019- 30.09.2019</i>	<i>01.01.2020- 30.09.2020</i>	<i>01.01.2019- 30.09.2019</i>
Sales revenue	7,362,137	5,523,446	1,657,392	1,281,958
Operating profit	578,269	387,230	130,182	89,874
Profit before tax	540,773	345,040	121,741	80,082
Net profit	440,378	281,906	99,140	65,429
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	4.49	2.88	1.01	0.67
Cash flow from operating activities	448,560	319,531	100,982	74,161
Cash flow from investing activities	(680,900)	(629,075)	(153,287)	(146,005)
Cash flow from financing activities	170,120	202,281	38,298	46,948
Net change in cash and cash equivalents	(62,220)	(107,263)	(14,007)	(24,895)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate for Q1-Q3 2020:	4.4420
- NBP's average exchange rate for Q1-Q3 2019:	4.3086

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>30.09.2020</i>	<i>31.12.2019</i>	<i>30.09.2020</i>	<i>31.12.2019</i>
Total assets	4,859,611	4,350,750	1,073,520	1,021,663
Total non-current assets	3,699,684	3,215,763	817,285	755,140
Total current assets	1,159,927	1,134,987	256,236	266,523
Equity	2,062,731	1,622,353	455,671	380,968
Share capital	9,804	9,804	2,166	2,302
Non-current liabilities	1,047,542	860,217	231,409	202,000
Current liabilities	1,749,338	1,868,180	386,440	438,694

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 30 September 2020:	4.5268
- NBP's average exchange rate as at 31 December 2019:	4.2585

2. MANAGEMENT BOARD ACTIVITY REPORT

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery stores located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 30 September 2020, the Dino network consisted of 1,371 stores with a total selling area of 532,700 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 653, i.e. 91%, in the period of three years up to 30 September 2020. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its existing store network, which in the period of January-September 2020 stood at 13.0% compared to the corresponding period of 2019. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays). Most stores have a sales floor area of approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

The Dino Polska Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on five distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance the Dino Polska Group's profitability.

Dino's strategy assumes further business development through focus on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino chain in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.
- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, Dino Polska will take actions to augment customer traffic in Dino stores and the basket value per customer.
- consistent improvement of profitability – in past years Dino Polska generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by Dino Polska.

2.1.2. Recap of the Dino Group's operations in Q3 2020

In Q3 2020 the Dino Group's revenue was PLN 2,676.3 million, meaning it was up by PLN 653.0 million, i.e. 32.3% higher than in Q3 2019. Concurrently, the cost of sales climbed 29.0% to PLN 1,977.1 million. Year-to-date, in the first 9 months of 2020 the Dino Group's revenue totaled PLN 7,362.1 million and was up PLN 1,838.7 million, or 33.3% higher compared to the corresponding period of 2019. At the same time, the cost of sales rose 31.5% to PLN 5,500.8 million.

The table below presents selected line items from the consolidated statement of profit or loss

(PLN 000s)	Q3 2020	Q3 2019	change	Q1-Q3 2020	Q1-Q3 2019	change
Sales revenue	2,676,341	2,023,304	32.3%	7,362,137	5,523,446	33.3%
Cost of sales	(1,977,058)	(1,532,432)	29.0%	(5,500,761)	(4,181,671)	31.5%
Gross profit on sales	699,283	490,873	42.5%	1,861,376	1,341,775	38.7%
Other operating income	1,458	1,842	-20.8%	5,091	4,988	2.1%
Sales and marketing expenses	(431,296)	(320,561)	34.5%	(1,213,498)	(897,685)	35.2%
General administration expenses	(25,392)	(20,976)	21.1%	(70,938)	(56,036)	26.6%
Other operating expenses	(631)	(791)	-20.2%	(3,762)	(5,812)	-35.3%
Operating profit	243,422	150,387	61.9%	578,269	387,230	49.3%
Financial income	210	382	-45.0%	2,939	637	361.2%
Financial expenses	(12,573)	(15,166)	-17.1%	(40,435)	(42,827)	-5.6%
Profit before tax	231,059	135,603	70.4%	540,773	345,040	56.7%
Income tax	(42,596)	(26,154)	62.9%	(100,395)	(63,134)	59.0%
Net profit	188,463	109,449	72.2%	440,378	281,906	56.2%

In Q3 2020 profit measured by EBITDA grew year on year by 52.7% to PLN 293.9 million. The EBITDA margin was 11.0% versus the 9.5% margin posted one year ago. Year-to-date, at the end of the first 9 months of 2020, profit measured by EBITDA grew year on year by 42.9% to PLN 722.7 million. The EBITDA margin was 9.8%, i.e. 0.66 percentage points above its level in the period of January-September 2019.

The following table presents EBITDA

(PLN 000s)	Q3 2020	Q3 2019	change	Q1-Q3 2020	Q1-Q3 2019	change
Net profit	188,463	109,449	72.2%	440,378	281,906	56.2%
Income tax	(42,596)	(26,154)	62.9%	(100,395)	(63,134)	59.0%
Result on financing activity	(12,363)	(14,784)	-16.4%	(37,496)	(42,190)	-11.1%
Depreciation and amortization	50,460	42,087	19.9%	144,452	118,491	21.9%
EBITDA	293,882	192,474	52.7%	722,721	505,721	42.9%
EBITDA margin	11.0%	9.5%	-	9.8%	9.2%	-

Sales revenue

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in the current store network (like for like, LfL)¹. LfL sales growth in Q3 2020 was 12.4%, compared to the corresponding period of 2019. In January-September 2020 LfL sales growth was 13.0%.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network

%	2020			Q1-Q3			2019	2018	2017
	Q3	Q2	Q1	2020	2019	2018			
Inflation (deflation)	3.0	3.2	4.5	3.6	2.1	1.7	2.3	1.6	2.0
Food price inflation	3.2	6.4	7.7	5.8	4.4	3.1	4.9	2.6	4.2
Dino's LFL	12.4	7.8	20.3	13.0	11.4	12.4	11.6	11.6	16.2

Fresh products accounted for 36.9% of the Group's sales in Q3 2020 and for 38.7% in the January-September 2020 period.

¹ Stores are included in the calculation of LfL revenues starting from the 13th full month of their existence.

The table below shows the structure of sales revenues by product in individual periods

%	Q3 2020	Q3 2019	Q1-Q3 2020	Q1-Q3 2019
Fresh products	36.9	38.4	38.7	38.8
Dry grocery products, beverages, alcohol and cigarettes	51.1	50.6	48.8	49.7
Non-grocery products	12.0	11.0	12.5	11.5

Dino store network roll-out

In Q3 2020, 69 new Dino stores were opened, or 21% more than last year. Year-to-date from the beginning of 2020, 153 new stores have been opened in total versus 138 in the corresponding period of last year. As at 30 September 2020, the Dino network consisted of 1,371 stores, 258 more than last year.

The following table presents information on the Dino Group's number of stores as at specified dates

	As at 30 September		As at 31 December		
	2020	2019	2019	2018	2017
Number of new store openings (YTD)	153	138	243	202	147
Total number of stores	1,371	1,113	1,218	977	775
Total selling area (m ²)	532,700	430,536	472,224	375,715	295,226
Growth of sales area y/y	23.7%	25.4%	25.7%	27.3%	23.8%

Cost of sales

The cost of sales was 73.9% and 75.7% of revenue, respectively in Q3 2020 and Q3 2019. The cost of sales rose PLN 444.6 million, i.e. by 29.0% to PLN 1,977.1 million in Q3 2020 compared to PLN 1,532.4 million in Q3 2019, with a corresponding 32.3% increase of revenue. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group's store network and rising sales in the current store network (LFL).

Sales and marketing expenses

Sales and marketing expenses grew by PLN 110.7 million, i.e. 34.5% to PLN 431.3 million in Q3 2020 compared to PLN 320.6 million in Q3 2019. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the store network and rising LFL sales in the existing store network, thereby necessitating higher costs associated with store upkeep, storage of merchandise.

General administration expenses

General administration expenses rose PLN 4.4 million, or 21.1%, to PLN 25.4 million in Q3 2020 compared to PLN 21.0 million in Q3 2019. This was caused mainly by the expansion of the Group's store network's rollout).

Costs by nature

The following table presents costs by nature

(PLN 000s)	Q3 2020	Q3 2019	change	Q1-Q3 2020	Q1-Q3 2019	change
Depreciation and amortization	50,460	42,087	19.9%	144,452	118,491	21.9%
Consumption of materials and energy	212,888	192,774	10.4%	653,601	503,069	29.9%
External services	86,201	80,634	6.9%	235,834	221,307	6.6%
Taxes and fees	11,307	9,314	21.4%	38,332	29,337	30.7%
Employee benefits	313,074	220,415	42.0%	884,594	622,865	42.0%
Other costs by nature	12,102	10,065	20.2%	29,585	24,015	23.2%
Cost of goods and materials sold	1,744,875	1,320,932	32.1%	4,803,762	3,622,664	32.6%
Total costs by nature, including:	2,430,907	1,876,221	29.6%	6,790,160	5,141,748	32.1%
Items captured in cost of sales	1,977,058	1,532,431	29.0%	5,500,761	4,181,671	31.5%
Items captured in sales and marketing expenses	431,296	320,561	34.5%	1,213,498	897,685	35.2%
Items captured in general administration expenses	25,392	20,976	21.1%	70,938	56,036	26.6%
Movement in products	(2,839)	2,253	-	4,963	6,356	-21.9%

Total costs by nature rose PLN 554.7 million, or 29.6%, to PLN 2,430.9 million in Q3 2020, compared to PLN 1,876.2 million in Q3 2019, mainly as a result of higher: (i) costs of goods and materials sold (up PLN 423.9 million), (ii) costs of employee benefits (up PLN 92.7 million) and (iii) consumption of materials and energy (up PLN 20.1 million). This growth was caused mainly by the expansion of the Dino Group's store network and rising sales in the current store network (LFL).

The costs of employee benefits rose PLN 92.7 million, i.e. 42.0% to PLN 313.1 million in Q3 2020 compared to PLN 220.4 million in Q3 2019. This growth resulted primarily from the higher number of Dino Group employees from 19,404 as at 30 September 2019 to 24,050 as at 30 September 2020 in connection with the Dino Group's expanding business size and the related expansion of the Dino Group's store network and rising LFL sales in the existing store network and, to a lesser extent, from the higher average salary in the Dino Group.

Consumption of materials and energy increased by PLN 20.1 million, or 10.4%, to PLN 212.9 million in Q3 2020 compared to PLN 192.8 million in Q3 2019. This growth was caused by Dino Group's expanding business size, the expansion of the Dino Group's store network, rising LFL sales in the current store network.

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services, increased by PLN 5.6 million, or 6.9%, to PLN 86.2 million in Q3 2020 compared to PLN 80.6 million in Q3 2019. This growth was caused by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in the current store network.

Financial expenses

Dino Group's financial expenses fell PLN 2.6 million, or 17.1%, to PLN 12.6 million in Q3 2020 compared to PLN 15.2 million in Q3 2019. This decline resulted mainly from the drop in interest rates applicable to loans and borrowings due to interest rates being lower than one year ago.

Balance sheet – assets

(PLN 000s)	30.09.2020	30.06.2020	31.12.2019	30.09.2019	Change 30.09.20 / 30.06.20	Change 30.09.20 / 30.09.19
Property, plant and equipment	3,359,690	3,170,229	2,846,818	2,670,379	6.0%	25.8%
Right-of-use assets	221,099	234,081	251,744	223,258	-5.5%	-1.0%
Intangible assets	99,449	99,824	99,048	98,354	-0.4%	1.1%
Other non-financial assets	8	10	14	16	-19.3%	-49.6%
Deferred tax assets	19,438	19,156	18,139	17,788	1.5%	9.3%
Total non-current assets	3,699,684	3,523,300	3,215,763	3,009,795	5.0%	22.9%
Inventories	726,262	714,163	623,995	523,290	1.7%	38.8%
Trade and other receivables	50,523	44,570	78,123	25,803	13.4%	95.8%
Income tax receivables	8	0	123	8	-	-0.1%
Other non-financial assets	50,000	52,647	37,729	47,271	-5.0%	5.8%
Other financial assets	634	437	297	0	45.1%	-
Cash and cash equivalents	332,500	301,575	394,720	161,657	10.3%	105.7%
Total current assets	1,159,927	1,113,392	1,134,987	758,029	4.2%	53.0%
TOTAL ASSETS	4,859,611	4,636,692	4,350,750	3,767,824	4.8%	29.0%

Total assets increased by PLN 1,091.8 million, i.e. 29.0%, from PLN 3,767.8 million as at 30 September 2019 to PLN 4,859.6 million as at 30 September 2020. Compared to 30 June 2020, total assets rose by PLN 222.9 million, or 4.8%. As at 30 September 2020, the main components of total assets were: (i) property, plant and equipment (constituting 69.1%), (ii) inventory (constituting 14.9%), (iii) cash and cash equivalents (constituting 6.8%) and (iv) right-of-use assets (constituting 4.5%).

Non-current assets rose by PLN 689.9 million, i.e. 22.9%, from PLN 3,009.8 million as at 30 September 2019 to PLN 3,699.7 million as at 30 September 2020. Compared to 30 June 2020, non-current assets rose by PLN 176.4 million, or 5.0%. In both cases this growth was caused mainly by higher property, plant and equipment which, in turn, was caused primarily by the Dino Group's network rollout (new Dino stores) and capital expenditures.

Current assets increased by PLN 401.9 million, i.e. 53.0%, from PLN 758.0 million as at 30 September 2019 to PLN 1,159.9 million as at 30 September 2020. The increase was caused mainly by inventories moving up by PLN 203.0 million, which in turn was precipitated by the Dino Group's expanding business size and the increase in cash and cash equivalents by PLN 170.8 million.

Compared to 30 June 2020, current assets rose PLN 46.5 million (4.2%) driven by higher cash and cash equivalents and inventories.

Balance sheet – liabilities and equity

(PLN 000s)	30.09.2020	30.06.2020	31.12.2019	30.09.2019	Change 30.09.20 / 30.06.20	Change 30.09.20 / 30.09.19
Equity	2,062,731	1,874,268	1,622,353	1,493,779	10.1%	38.1%
Share capital	9,804	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	2,040,699	1,652,132	1,652,132	1,652,132	23.5%	23.5%
Retained earnings	4,728	204,832	(47,083)	(175,657)	-97.7%	-
Other equity	7,500	7,500	7,500	7,500	0.0%	0.0%
Total equity	2,062,731	1,874,268	1,622,353	1,493,779	10.1%	38.1%
Interest-bearing loans and borrowings	775,155	798,075	578,755	597,029	-2.9%	29.8%
Lease liabilities (LT)	80,093	84,814	99,922	112,002	-5.6%	-28.5%
Other liabilities	180	180	210	210	0.0%	-14.3%
Liabilities by virtue of outstanding securities (LT)	169,935	169,932	169,926	269,522	0.0%	-36.9%
Provisions for employee benefits	1,830	1,830	1,830	1,550	0.0%	18.1%
Deferred tax liability	20,343	19,369	9,509	17,898	5.0%	13.7%
Accruals and deferred revenue (LT)	6	11	65	125	-51.2%	-95.6%
Total non-current liabilities	1,047,542	1,074,211	860,217	998,336	-2.5%	4.9%
Trade and other payables	1,313,253	1,277,115	1,474,503	1,021,585	2.8%	28.6%
Current part of interest-bearing loans and borrowings	216,394	181,564	137,705	132,572	19.2%	63.2%
Lease liabilities (ST)	41,450	50,310	56,316	53,927	-17.6%	-23.1%
Liabilities by virtue of outstanding securities (ST)	80,352	100,555	100,724	709	-20.1%	-
Income tax liabilities	53,974	32,474	68,606	40,173	66.2%	34.4%
Accruals and deferred revenue (ST)	42,895	45,175	29,306	26,202	-5.0%	63.7%
Provisions for employee benefits and other provisions	1,020	1,020	1,020	541	0.0%	88.7%
Total current liabilities	1,749,338	1,688,213	1,868,180	1,275,709	3.6%	37.1%
Total liabilities	2,796,880	2,762,424	2,728,397	2,274,045	1.2%	23.0%
TOTAL EQUITY AND LIABILITIES	4,859,611	4,636,692	4,350,750	3,767,824	4.8%	29.0%

As at 30 September 2020, the main components of liabilities were: (i) trade and other payables (current part) representing 47.0%; (ii) interest-bearing loans and borrowings (non-current portion) representing 27.7% and (iii) current part of interest-bearing loans representing 7.7%. Total liabilities rose PLN 522.8 million, i.e. 23.0%, from PLN 2,274.0 million as at 30 September 2019 to PLN 2,796.9 million as at 30 September 2020. Total liabilities rose by PLN 34.5 million, i.e. 1.2% from PLN 2,762.4 million as at 30 June 2020 to PLN 2,796.9 million as at 30 September 2020.

The Dino Group's net debt² stood at PLN 1,030.9 million as at 30 September 2020, signifying growth of PLN 26.8 million compared to 30 September 2019 and decline of PLN 52.8 million compared to 30 June 2020. The net debt to EBITDA ratio for the last 12 months was 1.09x as at 30 September 2020. As at 30 September 2019 this ratio was 1.48x.

² Defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.

Cash flows

(PLN 000s)	Q3 2020	Q3 2019	change	Q1-Q3 2020	Q1-Q3 2019	change
Net cash from operating activities, including:	311,081	62,145	400.7%	448,560	319,531	40.4%
<i>profit before tax</i>	231,059	135,603	70.4%	540,773	345,040	56.7%
<i>depreciation and amortization</i>	50,460	42,087	19.9%	144,452	118,491	21.9%
<i>movement in working capital</i>	36,818	(119,755)	-	(172,220)	(102,254)	68.4%
<i>other</i>	(7,256)	4,210	-	(64,445)	(41,746)	54.4%
Net cash from investing activities	(245,276)	(194,827)	25.9%	(680,900)	(629,075)	8.2%
Net cash from financing activities	(34,880)	(53,786)	-35.1%	170,120	202,281	-15.9%
Net increase in cash and cash equivalents	30,925	(186,468)	-	(62,220)	(107,263)	-42.0%

The Dino Group generated PLN 311.1 million in net cash from operating activities in Q3 2020. In Q3 2019 these cash flows stood at PLN 62.1 million

Net cash flow from investing activities totaled PLN -245.3 million in Q3 2019, i.e. it was up 25.9% over Q3 2019. The high level of capital expenditures stems chiefly from the high pace of new Dino store openings.

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business and results until the end of 2020:

- pace of new store openings by Dino Polska and the related capital expenditures,
- changes in consumer spending precipitated by evolving business conditions,
- epidemiological situation in Poland,
- growth rate of the prices of consumer goods and services, in particular food and soft drinks,
- improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses, as well as improved efficiency of logistics services provided to all stores.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

Shareholding structure of Dino Polska S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Percentage of share capital and votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ³	50,160,000	51.16%
Other shareholders	47,880,000	48.84%

³ BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds 160 thousand Company shares

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska S.A. Supervisory Board.

Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date. Compared to 30 June 2020 and the publication date of the H1 2020 report, the number of shares held by Michał Krauze has not changed. Izabela Biadała and Michał Muskała, the other Management Board Members did not have shares as at the Report Date and as the date of publishing the H1 2020 report.

Among the Supervisory Board members, as at the Report Date the following members held shares in Dino: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above, Szymon Piduch (Supervisory Board Member) – 141,000, Eryk Bajer (Supervisory Board Member) – 20,890 shares and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of Company shares held by Supervisory Board members has not changed since the date of publishing the H1 2020 report.

2.3. Operating Segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

(PLN 000s)

Revenue on sales of products and services

Revenue on sales of goods and materials

Total

<i>Q1-Q3 2020</i>	<i>Q1-Q3 2019</i>
916,113	678,297
6,446,024	4,845,149
7,362,137	5,523,446

3. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS OF THE DINO POLSKA S.A. GROUP

3.1. Condensed consolidated statement of profit or loss

for the period from 1 January 2020 to 30 September 2020 (PLN 000s)

	<u>01.01.2020-</u> <u>30.09.2020</u>	<u>01.01.2019-</u> <u>30.09.2019</u>	<u>01.07.2020-</u> <u>30.09.2020</u>	<u>01.07.2019-</u> <u>30.09.2019</u>
Continuing operations				
Sales revenue	7,362,137	5,523,446	2,676,341	2,023,304
Cost of sales	(5,500,761)	(4,181,671)	(1,977,058)	(1,532,431)
Gross profit on sales	1,861,376	1,341,775	699,283	490,873
Other operating income	5,091	4,988	1,458	1,842
Sales and marketing expenses	(1,213,498)	(897,685)	(431,296)	(320,561)
General administration expenses	(70,938)	(56,036)	(25,392)	(20,976)
Other operating expenses	(3,762)	(5,812)	(631)	(791)
Operating profit	578,269	387,230	243,422	150,387
Financial income	2,939	637	210	382
Financial expenses	(40,435)	(42,827)	(12,573)	(15,166)
Profit before tax	540,773	345,040	231,059	135,603
Income tax	(100,395)	(63,134)	(42,596)	(26,154)
Net profit from continuing operations	440,378	281,906	188,463	109,449
Net profit for the reporting period	440,378	281,906	188,463	109,449
Profit attributable:				
To owners of the parent	440,378	281,906	188,463	109,449
Earnings per share:				
– basic earnings from profit attributable to owners of the parent	4.49	2.88	1.92	1.12
– basic earnings from profit from continuing operations attributable to owners of the parent	4.49	2.88	1.92	1.12
– diluted earnings from profit attributable to owners of the parent	4.49	2.88	1.92	1.12
– diluted earnings from profit from continuing operations attributable to owners of the parent	4.49	2.88	1.92	1.12

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2020 to 30 September 2020 (PLN 000s)

	<i>01.01.2020- 30.09.2020</i>	<i>01.01.2019- 30.09.2019</i>	<i>01.07.2020- 30.09.2020</i>	<i>01.07.2019- 30.09.2019</i>
Net profit for the reporting period	440,378	281,906	188,463	109,449
Actuarial gains/(losses) on defined benefit plans	-	-	-	-
Income tax on other comprehensive income	-	-	-	-
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-	-	-
Net other comprehensive income	-	-	-	-
Comprehensive income in the reporting period	440,378	281,906	188,463	109,449
Comprehensive income attributable:				
To owners of the parent	440,378	281,906	188,463	109,449
Non-controlling shareholders	-	-	-	-
	440,378	281,906	188,463	109,449

3.3. Condensed consolidated statement of financial position

as at 30 September 2020 (PLN 000s)

	30.09.2020	30.06.2020	31.12.2019	30.09.2019
ASSETS				
Property, plant and equipment	3,359,690	3,170,229	2,846,818	2,670,379
Right-of-use assets	221,099	234,081	251,744	223,258
Intangible assets	99,449	99,824	99,048	98,354
Other non-financial assets	8	10	14	16
Deferred tax assets	19,438	19,156	18,139	17,788
Total non-current assets	3,699,684	3,523,300	3,215,763	3,009,795
Inventories	726,262	714,163	623,995	523,290
Trade and other receivables	50,523	44,570	78,123	25,803
Income tax receivables	8	-	123	8
Other non-financial assets	50,000	52,647	37,729	47,271
Other financial assets	634	437	297	-
Cash and cash equivalents	332,500	301,575	394,720	161,657
Total current assets	1,159,927	1,113,392	1,134,987	758,029
TOTAL ASSETS	4,859,611	4,636,692	4,350,750	3,767,824
EQUITY AND LIABILITIES				
Equity (attributable to owners of the parent)	2,062,731	1,874,268	1,622,353	1,493,779
Share capital	9,804	9,804	9,804	9,804
Supplementary capital	2,040,699	1,652,132	1,652,132	1,652,132
Retained earnings	4,728	204,832	(47,083)	(175,657)
Other equity	7,500	7,500	7,500	7,500
Non-controlling interests	-	-	-	-
Total equity	2,062,731	1,874,268	1,622,353	1,493,779
Interest-bearing loans and borrowings	775,155	798,075	578,755	597,029
Lease liabilities	80,093	84,814	99,922	112,002
Liabilities by virtue of outstanding securities	169,935	169,932	169,926	269,522
Other liabilities	180	180	210	210
Provisions for employee benefits	1,830	1,830	1,830	1,550
Deferred tax liability	20,343	19,369	9,509	17,898
Accruals and deferred revenue	6	11	65	125
Total non-current liabilities	1,047,542	1,074,211	860,217	998,336
Trade and other payables	1,313,253	1,277,115	1,474,503	1,021,585
Current part of interest-bearing loans and borrowings	216,394	181,564	137,705	132,572
Lease liabilities	41,450	50,310	56,316	53,927
Liabilities by virtue of outstanding securities	80,352	100,555	100,724	709
Income tax liabilities	53,974	32,474	68,606	40,173
Accruals and deferred revenue	42,895	45,175	29,306	26,202
Provisions for employee benefits	1,020	1,020	1,020	541
Total current liabilities	1,749,338	1,688,213	1,868,180	1,275,709
Total liabilities	2,796,880	2,762,424	2,728,397	2,274,045
TOTAL EQUITY AND LIABILITIES	4,859,611	4,636,692	4,350,750	3,767,824

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2020 to 30 September 2020 (PLN 000s)

	01.01.2020- 30.09.2020	01.01.2019- 30.09.2019	01.07.2020- 30.09.2020	01.07.2019- 30.09.2019
Cash flow from operating activities				
<i>Profit before tax</i>	540,773	345,040	231,059	135,603
<i>Adjustments for the line items:</i>	(92,213)	(25,509)	80,022	(73,458)
Depreciation and amortization	144,452	118,491	50,460	42,087
(Profit)/loss on investment activity	1,309	2,093	160	729
Movement in trade receivables and other receivables	28,303	51,240	(6,186)	21,916
Movement in inventories	(102,267)	(77,932)	(12,099)	(34,214)
Movement in liabilities, except for loans and borrowings	(98,256)	(75,562)	55,103	(107,457)
Interest revenue	(953)	(524)	(172)	(312)
Interest expense	40,405	42,801	12,559	15,170
Movement in prepayments, accruals and deferred revenue	169	(6,637)	607	(1,544)
Movement in provisions	-	-	-	-
Income tax paid	(105,375)	(79,479)	(20,410)	(9,833)
Other	-	-	-	-
Net cash from operating activities	448,560	319,531	311,081	62,145
Cash flow from investing activities				
Sale of items of property, plant and equipment and intangible assets	1,160	699	519	117
Purchase of items of property, plant and equipment and intangible assets	(682,675)	(630,298)	(245,769)	(195,256)
Interest received	953	524	172	312
Repayment of extended borrowings	518	-	518	-
Granting of loans	(856)	-	(716)	-
Net cash from investing activities	(680,900)	(629,075)	(245,276)	(194,827)
Cash flow from financing activities				
Payment of lease liabilities	(44,564)	(42,964)	(14,232)	(14,258)
Proceeds from obtained loans/borrowings	401,290	324,679	49,980	23,973
Repayment of loans/borrowings	(126,201)	(208,147)	(38,069)	(48,758)
Issue of debt securities	-	170,000	-	-
Redemption of debt securities	(20,000)	-	(20,000)	-
Interest paid	(40,405)	(41,287)	(12,559)	(14,743)
Net cash from financing activities	170,120	202,281	(34,880)	(53,786)
Net increase in cash and cash equivalents	(62,220)	(107,263)	30,925	(186,468)
Cash at the beginning of the period	394,720	268,920	301,575	348,125
Cash at the end of the period	332,500	161,657	332,500	161,657

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2020 to 30 September 2020 (PLN 000s)

	<i>Attributable to owners of the parent</i>				
	<i>Share capital</i>	<i>Supplementary capital</i>	<i>Retained earnings</i>	<i>Other equity</i>	<i>Total</i>
As at 1 January 2020	9,804	1,652,132	(47,083)	7,500	1,622,353
Net profit for 2020	-	-	440,378	-	440,378
<i>Comprehensive income for the year</i>	-	-	440,378	-	440,378
Distribution of the 2019 financial result	-	388,567	(388,567)	-	-
As at 30 September 2020	9,804	2,040,699	4,728	7,500	2,062,731
As at 1 January 2019	9,804	1,307,273	(112,704)	7,500	1,211,873
Net profit for 2019	-	-	410,907	-	410,907
Net other comprehensive income in 2019	-	-	(427)	-	(427)
<i>Comprehensive income for the year</i>	-	-	410,480	-	410,480
Distribution of the 2018 financial result	-	344,859	(344,859)	-	-
As at 31 December 2019	9,804	1,652,132	(47,083)	7,500	1,622,353
As at 1 January 2019	9,804	1,307,273	(112,704)	7,500	1,211,873
Net profit for 2019	-	-	281,906	-	281,906
<i>Comprehensive income for the year</i>	-	-	281,906	-	281,906
Distribution of the 2018 financial result	-	344,859	(344,859)	-	-
As at 30 September 2019	9,804	1,652,132	(175,657)	7,500	1,493,779

4. CONDENSED STANDALONE FINANCIAL STATEMENTS OF DINO POLSKA S.A.

4.1. Selected standalone financial data

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2020- 30.09.2020</i>	<i>01.01.2019- 30.09.2019</i>	<i>01.01.2020- 30.09.2020</i>	<i>01.01.2019- 30.09.2019</i>
Sales revenue	7,352,287	5,509,399	1,655,175	1,278,698
Operating profit	436,829	312,990	98,341	72,643
Profit before tax	401,481	274,564	90,383	63,725
Net profit	324,670	222,601	73,091	51,664
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic/diluted earnings per share in PLN, EUR	3.31	2.27	0.75	0.53
Cash flow from operating activities	361,801	253,082	81,450	58,739
Cash flow from investing activities	(531,026)	(516,928)	(119,547)	(119,976)
Cash flow from financing activities	89,377	155,086	20,121	35,995
Net change in cash and cash equivalents	(79,848)	(108,760)	(17,976)	(25,243)

In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate for Q1-Q3 2020:	4.4420
- NBP's average exchange rate for Q1-Q3 2019:	4.3086

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>30.09.2020</i>	<i>31.12.2019</i>	<i>30.09.2020</i>	<i>31.12.2019</i>
Total assets	4,316,152	3,918,286	953,466	920,109
Total non-current assets	3,124,041	2,660,390	690,121	624,725
Total current assets	1,192,111	1,257,896	263,345	295,385
Equity	1,572,841	1,248,171	347,451	293,101
Share capital	9,804	9,804	2,166	2,302
Non-current liabilities	814,252	681,932	179,874	160,134
Current liabilities	1,832,846	1,922,179	404,888	451,375

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 30 September 2020:	4.5268
- NBP's average exchange rate as at 31 December 2019:	4.2585

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2020 to 30 September 2020 (PLN 000s)

(in thousands of PLN)

	01.01.2020- 30.09.2020	01.01.2019- 30.09.2019	01.07.2020- 30.09.2020	01.07.2019- 30.09.2019
A. Net revenues on sales and equivalents	7,352,287	5,509,399	2,673,421	2,017,548
I. Net revenue on sales of products	14,108	11,661	5,144	4,659
IV. Net revenue on sales of goods and materials	7,338,179	5,497,738	2,668,277	2,012,889
B. Operating expenses	6,916,013	5,195,189	2,494,386	1,894,063
I. Depreciation and amortization	104,935	82,981	36,703	29,721
II. Consumption of materials and energy	105,692	79,238	37,516	28,213
III. External services	350,729	298,166	128,663	108,212
IV. Taxes and fees	29,583	22,174	8,542	7,081
V. Employee benefits	648,311	461,721	228,668	162,118
VI. Social security and other benefits, of which:	149,110	99,950	54,408	35,531
VII. Other costs by nature	29,368	23,532	12,018	9,948
VIII. Cost of goods and materials sold	5,498,285	4,127,427	1,987,868	1,513,239
C. Sales profit (loss) (A-B)	436,274	314,210	179,035	123,485
D. Other operating income	4,264	4,394	1,112	1,634
E. Other operating expenses	3,709	5,614	678	761
F. Operating profit (loss) (C+D-E)	436,829	312,990	179,469	124,358
G. Financial income	7,018	5,455	1,806	1,742
H. Financial expenses	42,366	43,881	13,598	15,584
I. Profit/(loss) before tax (F+G-H)	401,481	274,564	167,677	110,516
J. Income tax	76,811	51,963	32,148	21,349
K. Other mandatory decreases of profit (increases of loss)	-	-	-	-
L. Net profit (loss) (I-J-K)	324,670	222,601	135,529	89,167

4.3. Condensed standalone balance sheet

as at 30 September 2020 (PLN 000s)

(in thousands of PLN)

	30.09.2020	30.06.2020	31.12.2019	30.09.2019
Assets				
A. Non-current assets	3,124,041	2,950,046	2,660,390	2,473,653
I. Intangible assets	25,522	26,196	26,024	25,563
II. Property, plant and equipment	2,299,392	2,131,539	1,848,345	1,664,080
III. Non-current receivables	-	-	-	-
IV. Non-current investments	755,835	755,835	755,835	755,836
V. Non-current prepayments and accruals	43,292	36,476	30,186	28,174
B. Current assets	1,192,111	1,191,117	1,257,896	863,387
I. Inventories	695,309	680,893	601,195	493,590
II. Current receivables	75,774	70,625	100,447	48,583
III. Current investments	408,267	426,502	554,276	312,100
IV. Current prepayments and accruals	12,761	13,097	1,978	9,114
C. Contributions due to share capital	-	-	-	-
D. Treasury stock	-	-	-	-
Total assets	4,316,152	4,141,163	3,918,286	3,337,040

(in thousands of PLN)

	30.09.2020	30.06.2020	31.12.2019	30.09.2019
Equity and liabilities				
A. Equity	1,572,841	1,437,312	1,248,171	1,152,571
I. Share capital	9,804	9,804	9,804	9,804
II. Supplementary capital	1,208,019	889,818	889,818	889,818
III. Revaluation reserve (fund)	-	-	-	-
IV. Other reserve capital	-	-	-	-
V. Profit (loss) brought forward	-	318,201	-	-
VI. Net profit (loss)	324,670	189,141	318,201	222,601
VII. Other items of equity	30,348	30,348	30,348	30,348
VIII. Charges to net profit during the financial year (negative figure)	-	-	-	-
B. Liabilities and provisions for liabilities	2,743,311	2,703,851	2,670,115	2,184,469
I. Provisions for liabilities	63,293	55,780	39,639	45,660
II. Non-current liabilities	814,252	858,958	681,932	803,288
III. Current liabilities	1,832,846	1,753,020	1,922,179	1,313,349
IV. Accruals and deferred revenue	32,920	36,093	26,365	22,172
Total liabilities and equity	4,316,152	4,141,163	3,918,286	3,337,040

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2020 to 30 September 2020 (PLN 000s)

(in thousands of PLN)

	01.01.2020- 30.09.2020	01.01.2019- 30.09.2019	01.07.2020- 30.09.2020	01.07.2019- 30.09.2019
A. Cash flow from operating activities				
I. Net profit (loss)	324,670	222,601	135,529	89,167
II. Total adjustments	37,131	30,481	147,291	(43,330)
1. Depreciation and amortization	104,935	82,981	36,703	29,721
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-	-	-
3. Interest and profit sharing (dividends)	39,400	34,020	17,386	12,375
4. Profit (loss) on investing activity	1,382	2,081	259	773
5. Movement in provisions	23,654	15,990	7,514	9,116
6. Movement in inventories	(94,114)	(64,969)	(14,416)	(31,844)
7. Movement in receivables	24,288	45,982	(5,104)	25,404
8. Movement in current liabilities, except for loans and borrowings	(45,080)	(74,813)	114,602	(83,401)
9. Movement in prepayments, accruals and deferred revenue	(17,334)	(10,791)	(9,653)	(5,474)
III. Net cash flow from operating activities (I±II)	361,801	253,082	282,820	45,837
B. Cash flow from investing activities				
I. Inflows	91,166	108,207	48,348	25,022
1. Sale of intangible assets and property, plant and equipment	501	2,340	372	429
2. Sale of investments in real property and intangible assets	-	-	-	-
3. From financial assets, of which:	90,665	105,867	47,976	24,593
a) in related entities	90,312	105,681	47,975	24,484
b) in other entities	353	186	1	109
- interest	353	186	1	109
II. Outflows	(622,192)	(625,135)	(232,646)	(195,851)
1. Purchase of intangible assets and property, plant and equipment	(602,092)	(498,230)	(224,646)	(176,551)
2. Investments in real property and intangible assets	-	-	-	-
3. Towards financial assets, of which:	(20,100)	(126,905)	(8,000)	(19,300)
a) in related entities	(20,100)	(126,905)	(8,000)	(19,300)
III. Net cash flow from investing activities (I-II)	(531,026)	(516,928)	(184,298)	(170,829)
C. Cash flow from financing activities				
I. Inflows	301,290	425,889	(20)	17,183
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions	-	-	-	-
2. Loans and borrowings	301,290	255,889	(20)	17,183
3. Issue of debt securities	-	170,000	-	-
4. Other financial proceeds	-	-	-	-
II. Outflows	(211,913)	(270,803)	(80,384)	(67,430)
1. Purchase of treasury shares	-	-	-	-
2. Dividends and other distributions to owners	-	-	-	-
3. Profit-sharing expenditures other than distributions to owners	-	-	-	-
4. Repayment of loans and borrowings	(116,557)	(195,729)	(34,230)	(43,077)
5. Redemption of debt securities	(20,000)	-	(20,000)	-
6. On account of other financial liabilities	-	-	-	-
7. Payment of finance lease liabilities	(33,574)	(30,678)	(10,691)	(10,249)
8. Interest	(37,111)	(39,957)	(13,814)	(12,601)
9. Other financial expenditures	(4,671)	(4,439)	(1,649)	(1,503)
III. Net cash from financing activities (I-II)	89,377	155,086	(80,404)	(50,247)
D. Total net cash flow (A.III±B.III±C.III)	(79,848)	(108,760)	18,118	(175,239)
E. Balance sheet movement in cash, including	(79,848)	(108,760)	18,118	(175,239)
F. Cash at the beginning of the period	377,737	259,384	279,771	325,863
G. Cash at the end of the period (F±D), including	297,889	150,624	297,889	150,624
- restricted cash	3	43	(487)	8

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2020 to 30 September 2020 (PLN 000s)

(in thousands of PLN)

	01.01.2020- 30.09.2020	01.01.2019- 31.12.2019	01.01.2019- 30.09.2019
I. Equity at the beginning of the period (OB)	1,248,171	929,970	929,970
I.a. Equity at the beginning of the period (OB), adjusted	1,248,171	929,970	929,970
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	9,804	9,804	9,804
2. Supplementary capital at the beginning of the period	889,818	681,260	681,260
2.1. Changes to supplementary capital	318,201	208,558	208,558
(i) increase	318,201	208,558	208,558
- profit distribution	318,201	208,558	208,558
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	1,208,019	889,818	889,818
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	318,201	208,558	208,558
5.1. Profit brought forward at the beginning of the period	318,201	208,558	208,558
5.2. Profit brought forward at the beginning of the period, adjusted	318,201	208,558	208,558
(i) increase	-	-	-
b) decrease	(318,201)	(208,558)	(208,558)
- distribution of profits brought forward	(318,201)	(208,558)	(208,558)
5.3. Profit brought forward at the end of the period	-	-	-
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	-	-	-
6. Net result	324,670	318,201	222,601
a) net profit	324,670	318,201	222,601
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	30,348	31,783	31,783
7.1 Change in other items of equity	-	(1,435)	(1,435)
(i) increase	-	(1,435)	(1,435)
- effect of settlement of the merger with a subsidiary	-	(1,435)	(1,435)
7. Other items of equity at the end of the period	30,348	30,348	30,348
8. Charges to net profit during the financial year (negative figure)	-	-	-
II. Equity at the end of the period (CB)	1,572,841	1,248,171	1,152,571
III. Equity after considering the proposed distribution of profits (coverage of losses)	1,572,841	1,248,171	1,152,571

5. NOTES TO THE FINANCIAL STATEMENTS

5.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared in accordance with:

- International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter “IFRS”) published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards – according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2019.

These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future.

The interim (condensed) consolidated financial statements for the period from 1 January 2020 to 30 September 2020 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2019.

These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

The interim (condensed) standalone financial statements for the period from 1 January 2020 to 30 September 2020 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

The differences in the value of the disclosed data and the material differences pertaining to the accepted accounting standards (policies) between the financial statements drawn up in accordance with Polish Accounting Standards and the financial statements drawn up according to IFRS

The Company is the Group’s parent company, which has an obligation to prepare consolidated financial statements according to the IFRS standards endorsed by the EU. The Group in which the Company is the parent company prepared its first annual consolidated financial statements compliant with IFRS endorsed by the EU for the financial year ended 31 December 2013. The Group selected 1 January 2013 as the date of transition to IFRS.

The Company’s date of transition to IFRS cannot be determined definitively because the Company has not made a decision on that date, nor has it prepared its first financial statements compliant with IFRS endorsed by the EU. Had the financial statements been prepared in accordance with IFRS, the main differences between the accounting standards accepted for the attached financial statements and IFRS, under the assumption that the date of transition to IFRS is 1 January 2013, would pertain in particular to the following areas:

- determination of the residual value of fixed assets,

- separation of components and determination of depreciation charges for the actual periods of use,
- retraction of the calculated depreciation charges for trademarks as of the date of the Group's transition to IFRS,
- recognition of fixed assets and lease liabilities under IFRS16.

The presentation of some lines items of the financial statements may differ between Polish Accounting Standards and IFRS. The differences in presentation do not affect the Company's equity and net result. The components of the various line items of the financial statements and the scope of additional information to the financial statements according to the Polish Accounting Standards and IFRS may differ to a material degree.

Table depicting the effects of the disclosed differences in net profit and equity:

Equity according to PAS	1,572,841
Adjusted depreciation and amortization on account of residual value	1,567
Adjusted depreciation and amortization on account of the non-recurring retirement of fixed assets	2
Adjusted depreciation and amortization on account of the separation of components	(1,683)
Adjustment - amortization of trademarks	6,838
Adjustment - lease of fixed assets (IFRS 16)	(7,583)
Equity according to IFRS	1,571,982
Net profit according to PAS	324,670
Adjusted depreciation and amortization on account of residual value	104
Adjusted depreciation and amortization on account of the non-recurring retirement of fixed assets	(43)
Adjusted depreciation and amortization on account of the separation of components	(492)
Adjustment - amortization of trademarks	586
Adjustment - lease of fixed assets (IFRS 16)	(2,515)
Net profit according to IFRS	322,310
Other comprehensive income	-

The identification and measurement of these differences require the preparation of estimates and assumptions that do affect the disclosed figures. Even though the accepted assumptions and estimates are based on the Company's best knowledge, the actual figures may vary from the anticipated figures. This note identifying the major areas of difference between Polish Accounting Standards and IFRS has been drawn up on the basis of IFRS in force as at 30 September 2020 and under the assumption that the date for transition to IFRS is 1 January 2013. Since work is still in progress on more standards and amending the current standards it is possible that the standards according to which the Company will prepare its first financial statements complying with IFRS will differ from the standards applicable to the preparation of this note. The assumption concerning the date as of which the values of assets and liabilities would be determined in the Company's financial statements complying with IFRS stems from the option for the Management Board to utilize the exemption contemplated by paragraph 24 of IFRS 1, according to which the Company may accept the values carried in the parent company's consolidated financial statements compliant with IFRS on the basis of the parent company's date of transition to IFRS, i.e. 1 January 2013; however, the Company's Management Board may in any event alter that decision and it may accept its own date for the transition to applying IFRS.

Moreover, according to IFRS, only complete financial statements containing a balance sheet, a statement of comprehensive income and/or a statement of profit or loss, a statement of changes in equity, a statement of cash flows with comparable data and notes may accurately present financial standing, business results and cash flow according to IFRS.

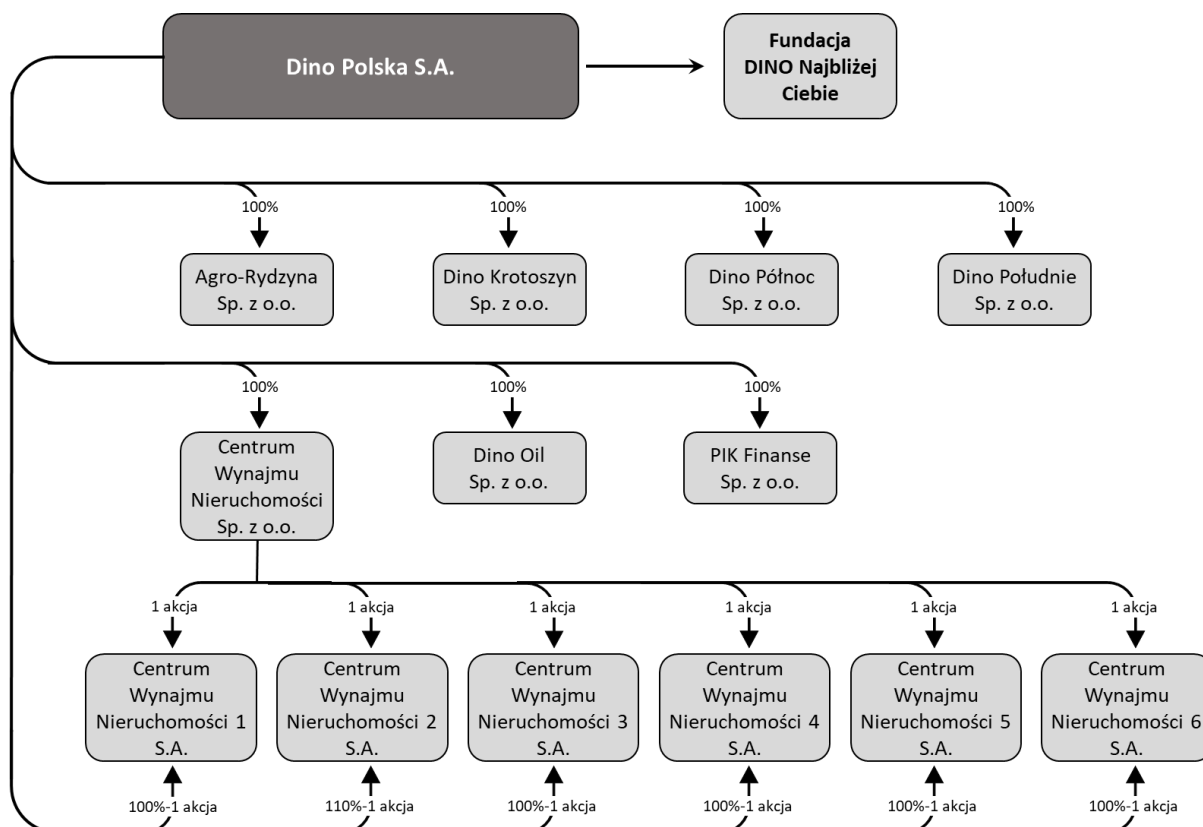
5.2. Group Overview

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, product range offered in the stores and supports other Subsidiaries (Real Estate Lease Centers) execution of investment processes related to securing new sites and building new stores. The Company also owns some of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

Dino Polska is run by a three-person Management Board in the following composition: Izabela Biadała, Director of Operations and Administration and Management Board Member, Michał Krauze, Chief Financial Officer and Management Board Member and Michał Muskała, Director of Investment and Management Board Member. On 2 July 2020 Szymon Piduch, the previous CEO of Dino Polska S.A. was elected by the Company's Shareholder Meeting to be a Member of the Dino Polska S.A. Supervisory Board.

On 14 October 2020 the subsidiary doing business as Vitrena Holdings Ltd. was deleted from the business register.

The Group consists of Dino Polska S.A. and the following subsidiaries:



5.3. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer. Moreover, Dino Group's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

5.4. Other information

Non-recurring amounts and events

The epidemiological situation in Poland was an atypical event in the Dino Group's business in the period from 1 July 2020 to 30 September 2020. In connection with this situation the Company has been applying a rigorous sanitary regime in all its areas of activity, especially in the Dino store network, the distribution centers and in its production plant. The Company monitors the epidemiological situation and its impact on its business on an ongoing basis. As at the date of this Report, all areas of the Company's operating activity are functioning efficiently and there are no significant reasons for revising the performance targets or plans set by the Management Board for 2020.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data
for the period from 1 January 2020 to 30 September 2020

(PLN 000s)	30.09.2020	Change	31.12.2019
Impairment losses on receivables	455	199	256

Unconsolidated financial data
for the period from 1 January 2020 to 30 September 2020

(PLN 000s)	30.09.2020	Change	31.12.2019
Impairment losses on receivables	389	201	188

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data
for the period from 1 January 2020 to 30 September 2020

(PLN 000s)	30.09.2020	Change	31.12.2019
Deferred tax liability	20,343	10,834	9,509
Provision for pension and similar benefits	2,850	-	2,850
	23,193	10,834	12,359

Unconsolidated financial data
for the period from 1 January 2020 to 30 September 2020

(PLN 000s)	30.09.2020	change	31.12.2019
Deferred tax liability	60,768	23,654	37,114
Provision for pension and similar benefits	2,525	-	2,525
	63,293	23,654	39,639

Information on deferred tax liabilities and assets

Consolidated financial data
for the period from 1 January 2020 to 30 September 2020

(PLN 000s)	30.09.2020	change	31.12.2019
Deferred tax liability	20,343	10,834	9,509
Deferred tax asset	19,438	1,299	18,139
		9,535	

Unconsolidated financial data
for the period from 1 January 2020 to 30 September 2020

(PLN 000s)	30.09.2020	change	31.12.2019
Deferred tax liability	60,768	23,654	37,114
Deferred tax asset	43,292	13,106	30,186
		10,548	

Material purchase and sale transactions of property, plant and equipment

In the presented period, purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs constituted major transactions involving the purchase of property, plant and equipment. In the period from 1 January to 30 September 2020, the

Group incurred capital expenditures of approximately PLN 605 million, including fixed assets under construction (in 2019 this level was roughly PLN 594 million).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of construction services related to the ongoing rollout of the Dino Polska Group's store network. They totaled PLN 83,980 thousand. At the end of Q3 2019, investment commitments were PLN 105,363 thousand.

Material litigation-related settlements

No material litigation transpired in the period from 1 January 2020 to 30 September 2020.

Correction of errors of previous periods

In the period covered by these statements, there were no corrections of errors of previous periods.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

On 17 September 2020, the Company's Management Board adopted a resolution to issue, under the Company's Bond Issue Program of 21 September 2017 (as amended), which the Company reported in current report no. 19/2017 ("Issue Program"), 250,000 secured bearer bonds, series 1/2020 with a par value of PLN 1,000 each and a total par value of PLN 250,000,000 ("Bonds"). The Bonds have been secured by sureties given by selected Dino Polska S.A. Group companies. The issue price of the Bonds is equal to their par value. The bonds were offered for purchase pursuant to art. 33 item 1 of the Bond Act of 15 January 2015 in a manner that did not require the Company to prepare a prospectus or information memorandum. The Bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.3 percentage points per annum.

The Bonds were issued on 6 October 2020 and registered in the securities depository run by the National Depository for Securities (KDPW S.A.). The bonds will be introduced to be traded in the alternative trading system run by Warsaw Stock Exchange S.A.

The final maturity of the Bonds is 6 October 2023.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on the arm's length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

In September 2020, in connection with the issue of bonds with a total par value in the amount of PLN 250 million, which transpired on 6 October 2020, the Company redeemed for retirement 20,000 series 1/2017 bonds with a total par value of PLN 20 million. In October 2020 the Company redeemed the other 80,000 series 1/2017 bonds with a total par value of PLN 80 million.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, the Parent Company did not pay out any dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period the Group had contingent liabilities arising from concluded preliminary agreements in the amount of PLN 763,240 thousand (as at 31 December 2019: PLN 456,950 thousand).

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events other than the ones described above occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

6. OTHER INFORMATION

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2020.

Proceedings pending before courts or other competent bodies for the relevant proceedings

According to the Company's best knowledge, no material proceedings pertaining to liabilities or accounts receivable of Dino Polska or its subsidiaries are pending before a court, competent authority for an administrative proceeding or public administration authority.

Information on related party transactions

Both the Parent Company and its subsidiaries enter into transactions on the arm's length basis.

Sureties for loans and borrowings and guarantees extended by the issuer or its subsidiary

In Q3 2020 Dino Polska S.A. extended a surety on the basis of civil law for an amount of up to PLN 75 million in force until 5 September 2026 to the subsidiary doing business as Centrum Wynajmu Nieruchomości 4 S.A. in connection with the loan for PLN 50 million drawn down by this company in Powszechna Kasa Oszczędności Bank Polski Spółka Akcyjna.

Other information

Up to the report's date of publication, no other material events occurred that would require disclosure.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Michał Krauze – Management Board Member

Izabela Biadała – Management Board Member

Michał Muskała – Management Board Member

Krotoszyn, 5 November 2020